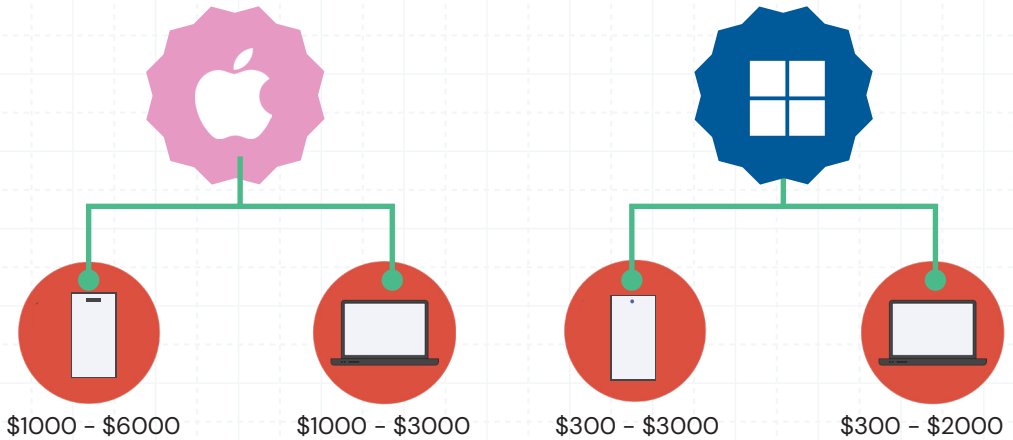


SALE



Competitive advantages should be reflected in its sales. If a company is producing a superior product, it should be able to charge a higher price. For instance, Apple's iPhones are considered superior to other phones in the market in various categories. As a result, Apple is able to sell iPhones at a price higher than that of other phones. We see a similar story with Apple's laptops and desktops. Since they are considered superior to other products in the market, Apple can get away with charging a higher price.

Example

Another example of a company being able to charge more than its competitors because of a higher perceived value is Netflix. **Netflix is the most prominent streaming platform and its subscription fees are higher than that of other streaming platforms.** Netflix gets away with this because it hosts various TV shows and movies on its platform. Very rarely would you find an English-language TV show or movie that is not on Netflix.

Please note that we are not simply saying that the companies are charging more for a better product, instead we are saying that people are willing to pay and actually paying more for a product they perceive as more valuable.